

Insurance Company - Internal Contagion Risk

Effective Date: 03-03-2026

Source: <https://www.prarulebook.co.uk/prarules/insurance-company---internal-contagion-risk/03-03-2026>

Type: PRA Rule

Scraped: 2026-03-02 20:51

1

Application

1.1

Unless otherwise stated, this Part applies to a [*non-directive insurer*](#), other than a [*non-directive friendly society*](#).

- 01/01/2016

1.2

This Part applies to the whole of the [*firm's*](#) business carried on world-wide.

- 01/01/2016

2

Restriction of Business

2.1

A [firm](#) other than a [pure reinsurer](#) must not carry on any commercial business other than [insurance business](#) and activities directly arising from that business.

- 01/01/2016

2.2

A [pure reinsurer](#) must not carry on any business other than the business of [reinsurance](#) and related operations.

- 01/01/2016

3

Financial Limitation of Non-Insurance Activities

3.1

A [firm](#) must limit, manage and control its non-insurance activities so that there is no significant risk arising from those activities such that it may be unable to meet its liabilities as they fall due.

- 01/01/2016

4

Separately Identify and Maintain Long-Term Insurance Assets

4.1

A [firm](#) carrying on [long-term insurance business](#) must identify the assets relating to its [long-term insurance business](#) which it is required to hold by virtue of:

1. (1) in the case of a [pure reinsurer](#):
 1. (a) [Insurance Company - Technical Provisions 4.1](#) or [4.2](#); and
 2. (b) [Insurance Company - Risk Management 5.1](#); and
3. (2) in any other case:
 1. (a) [Insurance Company - Technical Provisions 4.1](#) or [4.2](#); and

2. (b) [Insurance Company - Risk Management 4.2](#) and 4.3.

- 01/01/2016

4.2

1. (1) A [firm's long-term insurance assets](#) are the items in (2), adjusted to take account of:
 1. (a) outgoings in respect of the [firm's long-term insurance business](#); and
 2. (b) any transfers made in accordance with [4.5](#).
3. (2) The items referred to in (1) are:
 1. (a) the assets identified under [4.1](#) (including assets into which those assets have been converted) but excluding any assets identified as being held to cover liabilities in respect of subordinated debt;
 2. (b) any other assets identified by the [firm](#) as being available to cover its [long-term insurance liabilities](#) (including assets into which those assets have been converted) including, if the [firm](#) so elects, assets which are excluded under (a);
 3. (c) [premiums](#) and other receivables in respect of [contracts of long-term insurance](#);
 4. (d) other receipts of the [long-term insurance business](#); and
 5. (e) all income and capital receipts in respect of the items in (a) to (d).

- 01/01/2016

4.3

1. (1) Unless (2) applies, all the [long-term insurance assets](#) of the [firm](#) constitute its [long-term insurance fund](#).
2. (2) Where a [firm](#) identifies particular [long-term insurance assets](#) in connection with different parts of its [long-term insurance business](#), the assets identified in relation to each such part constitute separate [long-term insurance funds](#) of the [firm](#).

- 01/01/2016

4.4

A [firm](#) must maintain a separate accounting record in respect of each of its [long-term insurance funds](#).

- 01/01/2016

4.5

A [firm](#) may not transfer assets out of a [long-term insurance fund](#) unless:

1. (1) the assets represent an [established surplus](#); and
2. (2) no more than three months have passed since the determination of that surplus.

- 01/01/2016

5

Exclusive Use of Long-Term Insurance Assets

5.1

1. (1) A [firm](#) must apply a [long-term insurance asset](#) only for the purposes of its [long-term insurance business](#).
2. (2) For the purposes of (1), applying an asset includes coming under any obligation (even if only contingently) to apply that asset.

- 01/01/2016

5.2

A [firm](#) must not agree to, or allow, any mortgage or charge on its [long-term insurance assets](#) other than in respect of a [long-term insurance liability](#).

- 01/01/2016